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# AI VC Trends

VC activity across the AI ecosystem

Q1
2026

**REPORT PREVIEW**
The full report is available through the PitchBook Platform.

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# AI landscape

1 Horizontal platforms

2 Vertical applications

3 Semiconductors

4 Autonomous machines


For the complete AI taxonomy and company list, click here to see the market map on the PitchBook Platform.

# Quarterly analysis

## Key takeaways

- AI VC investment in Q1 2026 surpassed the full-year 2025 total in a single quarter. Total funding reached $255.5 billion, driven by an extraordinary concentration of capital in horizontal platforms.
- Autonomous machines posted a record quarter in both deal value and capital deployment. Waymo's $16 billion Series D anchored $29 billion in total segment investment, more than tripling Q4 2025 deal value.
- OpenAI closed a $122 billion round, while SpaceX's $250 billion acquisition of xAI stands as the largest AI-related M&A transaction ever recorded. The deal exceeded the combined value of all AI M&A activity over the prior three years.

## VC activity

Driven by a handful of megadeals, Q1 has already eclipsed all of 2025 in total AI VC funding activity. Total funding climbed from $254.4 billion across full-year 2025 to $255.5 billion in Q1 2026 alone. As expected, megadeal activity was concentrated in horizontal platforms, which once again captured a disproportionate share of deal value relative to deal count, leading the segment at $197 billion across 396 deals. The segment surpassed its full-year 2025 total of $110 billion in a single quarter, marking the largest increase on both a relative and absolute basis in the segment's history.

Vertical applications registered 948 deals across $22 billion in transactions, with both deal count and value falling below the previous quarter. The segment is consolidating: Deal counts have fallen sharply from their Q1 2022 peak of 1,938, with Q1 2026 hitting the lowest level since 2018. Capital deployed has not contracted in lockstep, however. Q1 2026 saw nearly as much investment as Q1 2022 ($22.8 billion vs. $26.1 billion) across roughly half as many deals.

Semiconductors posted their second-best quarter on record at $5 billion across 84 transactions, trailing only Q4 2025's $6 billion across 99 transactions. The largest disclosed deal was a $1.1 billion Series H investment into Cerebras Systems, led by Tiger Global Management. The chipmaker filed for its second IPO attempt on April 17. Autonomous machines posted a record quarter, registering $29 billion across 118 transactions in Q1, matching Q4's deal count while delivering more than 3x the deal value. For context, full-year 2025 totaled $24 billion across 455 transactions. The surge in deal value came from Waymo's $16 billion Series D, with the next-largest at $1.7 billion for Neura Robotics.

On a trailing 12-month (TTM) basis, the divergence between horizontal platforms and vertical applications grew more pronounced. Horizontal platforms led deal value at $299 billion across 1,823 deals, while vertical applications led on count at 4,667 deals but raised less than 1.5x the capital at $101 billion.

## Exits

SpaceX's acquisition of xAI stood as the single-largest AI-related M&A transaction on record, exceeding the combined value of all AI M&A activity over the prior three years. The deal was completed ahead of a SpaceX IPO to strengthen the company's positioning. The second- and third-largest exits in the quarter were Zhipu's public listing and Marvell Technology's acquisition of Celestial AI. Horizontal platforms accounted for roughly a third of the top 20 AI VC exits by count but 91% of total disclosed exit value, reflecting a continued premium for the segment. This dynamic is further reflected across the agentic AI landscape, where vertical applications continue to draw significant M&A interest while sector-agnostic horizontal platforms face better IPO prospects.

## Valuations

Venture growth recorded the largest increase in median pre-money valuations in both absolute and percentage terms, rising from $327.5 million in Q4 2025 to $868.4 million in Q1 2026, a gain of more than 165%. Overall median pre-money valuations nearly doubled over the same period, from $30 million to $69.9 million.

Early-stage VC was the standout, with median pre-money valuations rising from $57 million to $111.2 million, while late-stage VC saw a comparable move from $51.2 million to $116.3 million. Pre-seed/seed remained the most stable, edging up from $14.4 million to $16.8 million, consistent with its historically steady trajectory.

Deal counts remained muted across all stages in Q1 2026, continuing the broader trend of capital concentrating into fewer, larger transactions. Venture growth was the only stage to hold relatively stable in deal activity, reinforcing the pattern of investors committing deeper capital into a narrower set of late-stage winners.

Median deal sizes accelerated sharply at the early VC stage, rising from $9 million to $16 million, while overall median deal sizes rose from $5.8 million to $8.8 million. Valuation step-ups expanded alongside deal sizes, with early-stage VC companies commanding pre-money valuations 3.1x higher than their prior round in Q1 2026. This marks the largest jump between rounds seen across any stage since 2015. Late-stage VC rose to 2x over the same period. All stages ended the period above their historical average step-up levels.

## Key deals

Notable deals in Q1 2026 were dominated by horizontal platforms, with the three largest financings all occurring within the segment. OpenAI closed a record $122 billion funding round, exceeding the combined total of the next 19 largest venture-growth deals in the quarter. Anthropic followed with a $30 billion raise, while xAI secured $20 billion, underscoring the continued concentration of capital at the frontier model layer.

The quarter's most significant transaction was SpaceX's acquisition of xAI for $250 billion, executed ahead of the rocket company's anticipated IPO in mid-to-late June. The deal represents one of the largest corporate acquisitions in private market history. It reflects the growing strategic imperative among infrastructure-layer players to secure proprietary AI capabilities ahead of public market debut.

Waymo's $16 billion late-stage funding round propelled the autonomous machines segment to all-time highs in deal activity on both a quarterly and annual basis, the strongest reading in the dataset going back to 2015. Early-stage and pre-seed/seed activity remained comparatively modest, with capital concentrated in the low single-digit billions and the top three deals split across horizontal platforms and vertical applications.

## Macro backdrop

We see the macroeconomic backdrop significantly impacting AI investor sentiment: It influences risk appetite, funding availability, and market valuations for AI companies. As such, geopolitical risks in Q2 remain an overhanging concern for the broader market, with the ongoing war in Iran and elevated energy prices introducing persistent inflation uncertainty. Disruptions to Strait of Hormuz shipping lanes have compounded supply-side pressures, driving energy costs higher and adding a structural dimension to what might otherwise be transitory inflation. Political volatility has had a measurable chilling effect on risk appetite, contributing to heightened equity market volatility as investors weigh the implications of sustained energy costs on economic growth and the trajectory of Federal Reserve (the Fed) policy.

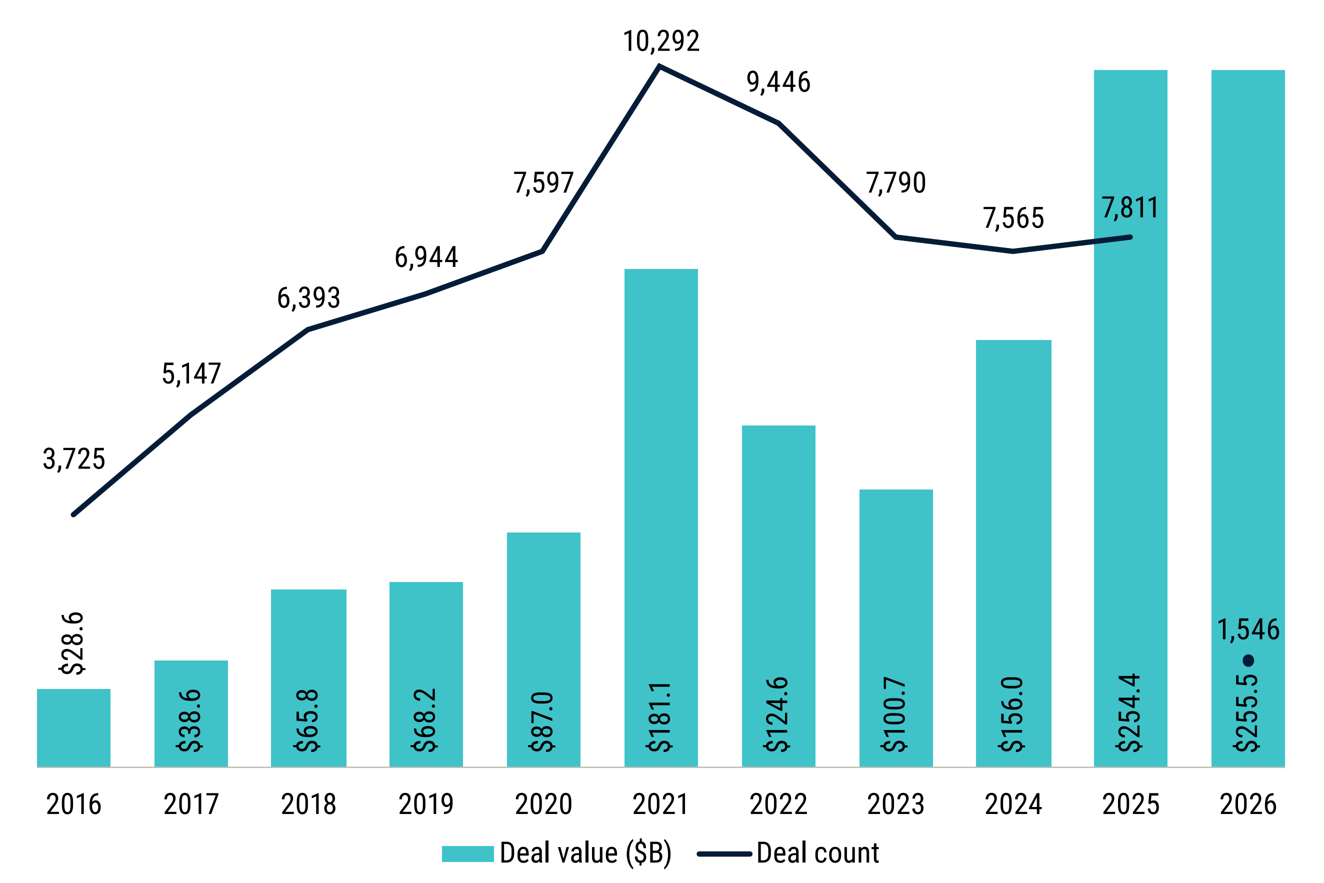
In Q4, the Federal Open Market Committee justified cutting interest rates based on a weakening labor market, despite inflation hovering above the Fed's 2% target for more than two years. However, if inflationary pressures prove more durable than expected, rate-cut prospects could diminish, tempering upside momentum in both public equities and the IPO market. We saw this in Q2, with the Fed holding interest rates steady on April 29, 2026, given this uncertainty. There was significant dissent about future policy direction. This is unlikely to derail activity outright but could introduce a meaningful headwind, slowing the pace of exits or dampening valuation expansion even with better revenue growth. Public Q1 earnings announcements will likely address near-term growth concerns, but sustained higher prices are the likely next significant trigger point for the market.

## Outlook

Capital concentration in horizontal platforms is expected to persist through 2026 and beyond, particularly at the frontier model layer. The thesis carries dual function for allocators: portfolio hedge against the AI transition and alpha generation. The base case treats frontier model intelligence as a secular, non-cyclical layer of the digital economy. Anthropic's anticipated IPO should extend capital magnetization into the segment, supported by its growing advantage over incumbent OpenAI. Vertical applications are positioned for continued deal count expansion at a moderating pace. Valuation step-ups should trend higher as category leaders consolidate and capital deploys deeper into apparent winners.

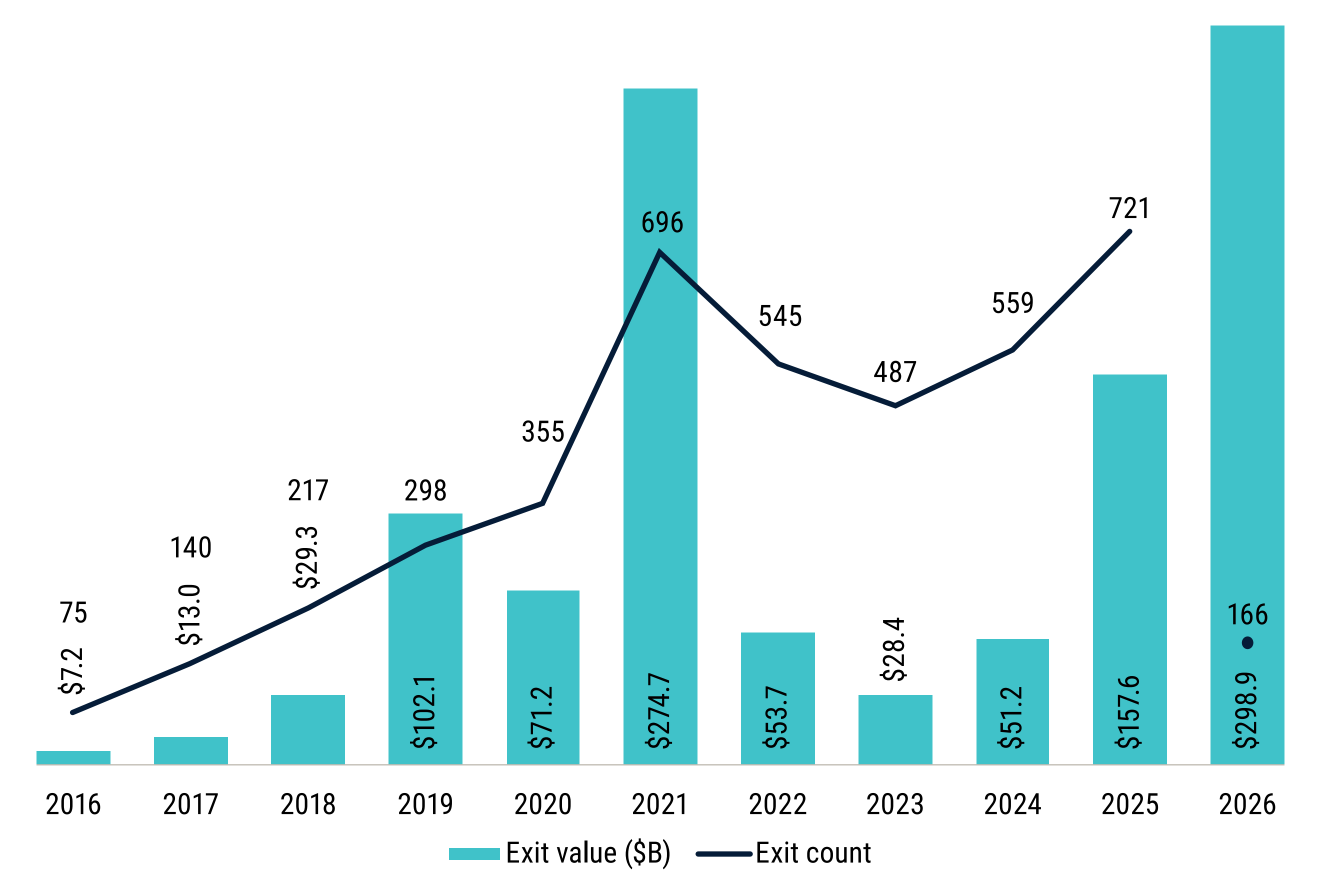
Semiconductors retain favorable structural tailwinds. Persistent compute and memory supply constraints continue to reward publicly traded incumbents NVIDIA and SK Hynix. Capital markets pathways are opening for challengers including Cerebras, which filed its second IPO attempt on April 17. Autonomous machines will likely attract sustained investment, with autonomous vehicles and robotics serving as primary capital magnets. Manufacturing scale, regulatory approvals, and unit-cost reductions in mature autonomy stacks are accelerating commercial deployment timelines.

## AI VC deal activity




Source: PitchBook • Geography: Global • As of March 31, 2026

## AI VC exit activity

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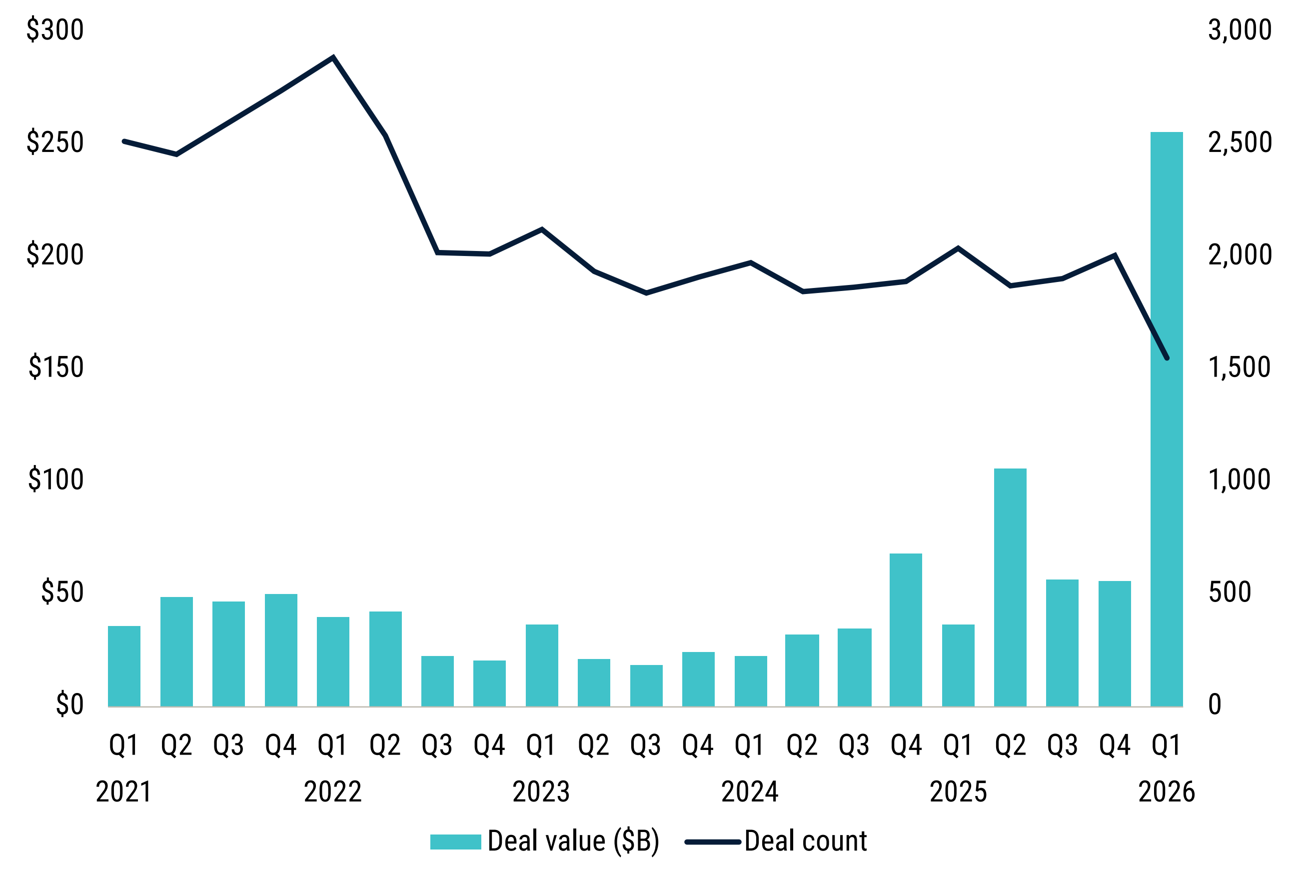
## QUARTERLY ANALYSIS

### AI VC deal activity by quarter

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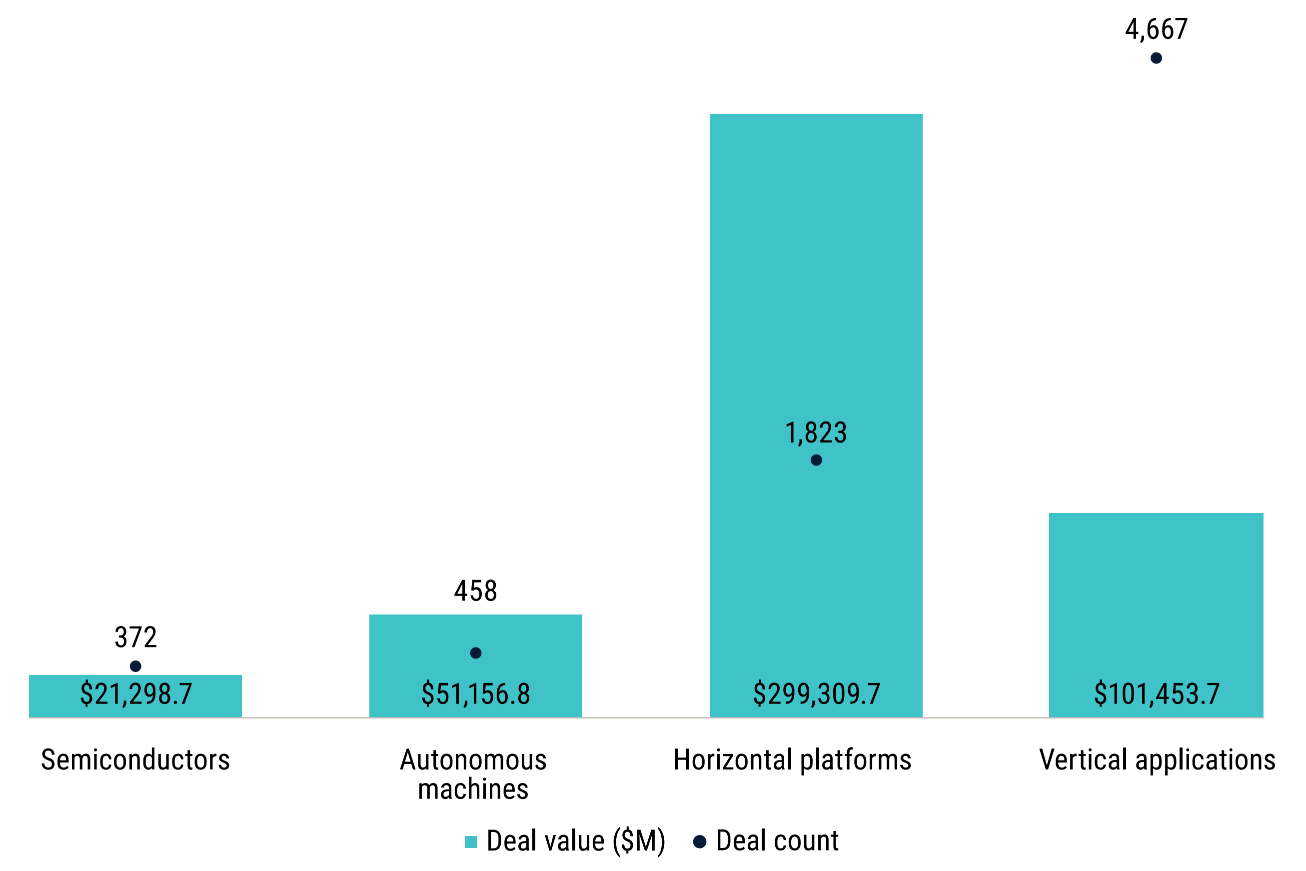
### TTM AI VC deal activity by segment

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## Key AI VC deals in Q1 2026

| Company | Close date | Segment | Subsegment | Deal value ($M) | Post-money valuation ($M) | Deal type | Lead investor(s) | Valuation step-up (post to pre) |
|---|---|---|---|---|---|---|---|---|
| **OpenAI** | March 31 | Horizontal platforms | AI core | $122,000.0 | $852,000.0 | Late-stage VC | Amazon.com, Andreessen Horowitz, NVIDIA, SoftBank Group | N/A |
| **Anthropic** | February 12 | Horizontal platforms | AI core | $30,600.0 | $380,000.0 | Late-stage VC | Coatue Management, Dragoneer Investment Group, Founders Fund, GIC Private, ICONIQ Capital, MGX, The D. E. Shaw Group | 1.9x |
| **xAI** | January 6 | Horizontal platforms | AI core | $20,000.0 | $230,000.0 | Late-stage VC | NVIDIA, Valor Equity Partners | 2.8x |
| **Waymo** | February 2 | Autonomous machines | Autonomous vehicles | $16,000.0 | $126,000.0 | Late-stage VC | DST Global, Dragoneer Investment Group, Mubadala Investment Company, Sequoia Capital | 2.4x |
| **Databricks** | February 9 | Horizontal platforms | AI automation platforms | $7,000.0 | $134,000.0 | Late-stage VC | Fidelity Management & Research Company, Insight Partners (New York), J.P. Morgan Growth Equity Partners | 1.3x |
| **Nscale** | March 9 | Horizontal platforms | AI core | $2,000.0 | $14,600.0 | Late-stage VC | 8090 Industries, Aker | N/A |
| **Rokid** | January 28 | Horizontal platforms | Natural language technology | $2,000.0 | N/A | Late-stage VC | N/A | N/A |
| **Neura Robotics** | March 12 | Autonomous machines | Intelligent robotics | $1,763.0 | $5,876.7 | Late-stage VC | N/A | N/A |
| **Saronic** | March 31 | Autonomous machines | Intelligent robotics | $1,750.0 | $9,250.0 | Late-stage VC | Kleiner Perkins | 1.9x |
| **Wayve** | February 28 | Autonomous machines | Autonomous vehicles | $1,500.0 | $8,600.0 | Late-stage VC | Balderton Capital, Eclipse Capital, SoftBank Investment Advisers | N/A |

Source: PitchBook • Geography: Global • As of March 31, 2026

## Key AI VC exits in Q1 2026

| Company | Close date | Exit value ($M) | Post-money valuation ($M) | Exit type | Segment | Acquirer(s) |
|---|---|---|---|---|---|---|
| **xAI** | January 16 | $250,000.0 | $250,000.0 | Acquisition | Horizontal platforms | SpaceX |
| **Zhipu** | January 8 | $6,014.2 | $6,572.9 | Public listing | Horizontal platforms | N/A |
| **Celestial AI** | February 2 | $6,000.0 | $6,000.0 | Acquisition | Horizontal platforms | Marvell Technology |
| **MiniMax AI** | January 9 | $5,937.3 | $6,556.3 | Public listing | Horizontal platforms | Abu Dhabi Investment Authority, Alibaba Group, Aspex Management, China Universal Asset Management, E Fund Management, Eastspring Investments, IDG Capital, Janchor Partners, MPC (Beijing), Mirae Asset Securities, Perseverance Asset Management, Taikang Life Insurance |
| **Biren Technology** | January 2 | $5,872.5 | $6,664.8 | Public listing | Semiconductors | N/A |
| **Shanghai Iluvatar CoreX Semiconductor** | January 8 | $4,252.6 | $4,252.6 | Public listing | Semiconductors | Alphahill Capital, Beijing 4Paradigm Intelligent Technology, Beijing Teamsun Technology Company, Centurium Capital, China Asset Management Company, China Orient Asset Management (International) Holding, China Universal Asset Management, Engine Tech, Huatai Capital Investment, Sino IC Leasing, TongFu Microelectronics, UBS Asset Management Americas, Wind Sabre Capital, ZTE, deeproots partners |
| **Chronosphere** | January 29 | $3,350.0 | $3,350.0 | Acquisition | Horizontal platforms | Palo Alto Networks |
| **Xanadu** | March 27 | $2,825.0 | $3,600.0 | Public listing | Semiconductors | Crane Harbor Acquisition |
| **Infleqtion** | February 17 | $1,800.0 | $2,216.0 | Public listing | Semiconductors | Churchill Capital X |

Source: PitchBook • Geography: Global • As of March 31, 2026

# AI VC deal summary

| | Quarterly activity | | | | | TTM activity | |
|---|---|---|---|---|---|---|---|
| | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 | Q1 2026 | Q2 2024-Q1 2025 | Q2 2025-Q1 2026 |
| Deal count | **2,037** | **1,870** | **1,898** | **2,006** | **1,546** | **7,629** | **7,320** |
| QoQ change | 7.9% | -8.2% | 1.5% | 5.7% | -22.9% | N/A | -4.1% |
| Share of total VC | 17.5% | 18.9% | 19.1% | 19.7% | 17.1% | 17.8% | 18.8% |
| Deal value ($B) | **$36.7** | **$105.9** | **$56.1** | **$55.8** | **$255.5** | **$170.6** | **$473.2** |
| QoQ change | -45.9% | 188.9% | -47.1% | -0.5% | 358.2% | N/A | 177.4% |
| Share of total VC | 38.6% | 63.7% | 46.4% | 43.2% | 77.2% | 42.0% | 63.3% |
| Exit count | **167** | **171** | **183** | **200** | **166** | **585** | **720** |
| Public listings | 122 | 134 | 122 | 131 | 115 | 435 | 502 |
| Acquisitions | 33 | 29 | 43 | 52 | 29 | 86 | 153 |
| Buyouts | 12 | 8 | 18 | 17 | 22 | 64 | 65 |

Source: PitchBook • Geography: Global • As of March 31, 2026

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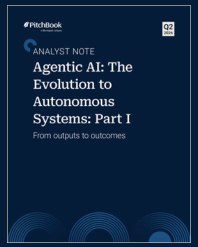
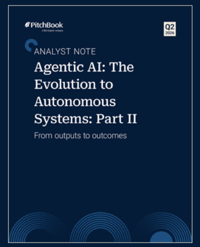
**Additional research:**




**Agentic AI: The Evolution to Autonomous Systems: Part I**

Download the report here




**Agentic AI: The Evolution to Autonomous Systems: Part II**

Download the report here

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